

00 Introduction to Subject CP1

6 primary questions | Oldest to newest

2026 objectives: 3.1

2 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 September 2007 Q2	8 marks
CA1-P2 April 2009 Q7	27 marks
CA1-P2 September 2012 Q3	16 marks
CA1-P2 April 2017 Q7	23 marks
CA1-P2 September 2017 Q2	8 marks
CP1-P2 April 2025 Q1	47 marks

CA1-P2 | September 2007 | Q2

Current topic | 8 marks total | Original PDF p2

Related: Ch 16, Ch 38.

- 2**
- (i) Discuss the application of the actuarial control cycle to the investment management of a fund. [4]
 - (ii) Describe the monitoring needed to ensure that the investment management of the fund will remain appropriate. [4]
- [Total 8]

CA1-P2 | April 2009 | Q7

Current topic | 27 marks total | Original PDF p4

Related: Ch 22, Ch 18.

7 Company X is a subsidiary of a large multinational group, Group Y. Group Y has an extensive range of businesses in the country in which X operates. X is going to be demerged from Y, and the demerger agreement requires X to set up pension arrangements for its employees, which should be broadly similar to the defined benefit pension scheme operated by Y. X has very little in-house resource or expertise for pension operations.

- (i) (a) List the main parties (other than Group Y) including professional advisors, that will be involved in establishing Company X's new pension arrangements. [5]
- (b) Explain the role of each of the parties in (a). [5]
- (ii) Discuss how the actuarial control cycle could be used in relation to the benefit design for the new pension scheme. [12]

Two years after the scheme was established, an actuarial investigation is being carried out into the funding position of the scheme, and the surplus/deficit is being calculated.

- (iii) Outline the data that is needed for this investigation. [6]
 - (iv) Outline the checks that would be performed on the data. [4]
- [Total 27]

CA1-P2 | September 2012 | Q3

Current topic | 16 marks total | Original PDF p2

Related: Ch 14, Ch 9.

- 3**
- (i) State the principles of investment. [2]
 - (ii) Describe how an institutional investor could use the Actuarial Control Cycle to develop an optimum investment strategy. [7]

An institutional investor is considering purchasing shares in an overseas company which owns a small fleet of private jets that are leased to individual and corporate customers.

- (iii) Discuss the factors that could influence the attractiveness or not to the investor of the proposed share purchase. [7]
- [Total 16]

CA1-P2 | April 2017 | Q7

Current topic | 23 marks total | Original PDF p4

Related: Ch 2, Ch 21, Ch 17.

- 7** An insurance company is considering launching a new health insurance product.
- (i) Outline how each of the components of the actuarial control cycle could be used to manage the launch of the new product. [8]
 - (ii) Outline the main aspects of the external environment to be considered for the new product. [5]
 - (iii) Discuss how the expenses could be allocated when pricing this new product. [6]

The insurance company has decided to use the model prescribed by the regulator to calculate statutory solvency for reserving for the new health insurance product.

- (iv) Suggest reasons why the company has decided to use this model rather than building its own internal model. [4]
- [Total 23]

CA1-P2 | September 2017 | Q2

Current topic | 8 marks total | Original PDF p2

Related: Ch 24.

- 2** Describe how the Risk Management Control Cycle can be used in capital investment projects. [8]

CP1-P2 | April 2025 | Q1

Current topic | 47 marks total | Original PDF p2

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 1, Ch 17, Ch 25, Ch 23, Ch 30.

- 1** A country has many museums located in its capital city. Six of these museums are very large and popular, with each having over 2 million annual visitors. Of these visitors, 50% are from abroad, 25% from the capital city and 25% from other parts of the country. The museums are funded by the government. There is no charge to visit the museums.

The country also has museums located in other cities. These are all much smaller with maximum annual visitor numbers all under 1 million.

The government is planning to move one of the six museums out of the capital city. Five different alternative cities in the country are being considered for the relocated museum.

- (i) Suggest why the government may be planning to move one of its museums from the capital city. [5]
- (ii) List ten stakeholders who will be affected by the move. [5]
- (iii) Outline how a model could be used to decide which museum to move and to which city. [6]

An insurance company has been approached to provide a premium quotation for insurance relating to moving the objects to the relocated museum.

- (iv) Describe the risks associated with moving the objects from one museum to another. [5]
- (v) Discuss how the insurance company could determine the premium to charge for the insurance policy relating to moving the objects between museums. [10]
- (vi) Discuss how the insurance company could manage the retained risk if it writes this business. [4]
- (vii) Describe other advice an actuary could provide to assist with the running of the country's museums. [6]

The move has now been completed. The government is considering moving another museum out of the capital city.

- (viii) Explain how the actuarial control cycle could be used to evaluate if the move has been a success and if a second move is feasible. [6]

[Total 47]